

Coca-Cola

CEO and CFO Meeting in Person in NY

2025 - Extel Institutional Investor
All-America Equity Research Survey

VOTE

Voting Opens June 2nd - June 27th
Please vote for J.P. Morgan (5 stars)



We attended The Coca Cola Company (KO, OW-rated) mid-year sell-side dinner hosted by Chairman and CEO James Quincey, and President and CFO John Murphy. The focus of the conversation was the use of Artificial Intelligence (AI) and generative AI beyond analytical work but rather to shape the future and accelerate speed to market. While there was no major market-moving commentary per se, we believe these investments in digital capabilities continue to set KO apart versus less capitalized peers, and give investors more confidence in KO delivering the above-peer group algorithm of +4% to 6% organic sales growth. For a more specific modeling commentary and our model outlook, please refer to our model update note [“A Refreshing Outlook Amid Challenging Consumer Landscape: Model Update Post-1Q25”](#). KO’s consistency in strategy and delivery is rare even for staples companies, and we believe sets KO apart. As such, we continue to view KO as a core holding with an OW-rating.

- **Unique Ability to Understand and Use “Expansive” Innovation.** KO offers a wide spectrum of liquids from full-calorie carbonated soft drinks to waters, energy drinks, coffee, teas, juices and protein beverages. This portfolio allows the company to be better equipped than peers to meet consumers’ fast evolving needs. The company continues to aim to offer a future-focused portfolio (protein and energy drinks in particular). We believe the key competitive advantage for KO is its ability to identify need-states and scale both locally and globally. John Murphy introduced the concept of “de-averaging”, which basically means servicing the consumer on an individual level. He said that in a few years, it will be economical to do so on a scalable level. Senior management also spoke to the increased use of AI to improve efficiency and speed to market of innovation.
- **Fairlife Still in Early Innings of a High Growth Category...** On the opportunity for Fairlife (protein liquid), management sounded very confident that KO is only scratching the surface at this point. KO continues to grow the category to meet the excess demand as new U.S. plant finishes construction. The additional capacity will allow Fairlife to innovate more and also make Fairlife nutrition available in other channels other than exclusively at Costco (covered by Chris Horvers). The natural step ahead is to lift and shift and take this brand internationally.
- **... while Energy Drinks Are the Gift that Keeps Giving** (Albeit not Fully Owned). Management also said that under the leadership of Tim Leveridge, SVP of Global Energy and ex-SVP of IR, KO has been able to collaborate better with Monster Beverage (MNST, N-rated). The company continues to believe

Overweight

KO, KO US

Price (26 Jun 25):\$69.47

Price Target (Dec-25):\$79.00

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Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2024A	2025E	2026E
Q1	0.72	0.73A	0.79
Q2	0.84	0.85	0.92
Q3	0.77	0.80	0.86
Q4	0.55	0.60	0.65
FY	2.88	2.97	3.22

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	86	77	81	87	88
Growth	98	96	61	9	19
Momentum	36	55	40	29	80
Quality	37	22	25	14	10
Low Vol	1	1	1	2	13
ESGQ	41	83	32	31	11

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

See page 6 for analyst certification and important disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	11.6%	-3.2%	-0.8%	8.5%
Rel	7.2%	-9.0%	-8.3%	-3.6%

Company Data

Shares O/S (mn)	4,321
52-week range (\$)	74.38-60.62
Market cap (\$ mn)	300,179.90
Exchange rate	1.00
Free float (%)	81.7%
3M ADV (mn)	16.65
3M ADV (\$ mn)	1,182.7
Volatility (90 Day)	20
Index	S&P 500
BBG ANR (Buy Hold Sell)	28 3 0

Key Metrics (FYE Dec)

\$ in millions	FY24A	FY25E	FY26E
Financial Estimates			
Revenue	46,897	48,253	50,772
Adj. EBITDA	15,160	16,325	17,532
Adj. EBIT	14,085	15,139	16,208
Adj. net income	12,463	12,804	13,844
Adj. EPS	2.88	2.97	3.22
BBG EPS	2.85	2.97	3.20
Cashflow from operations	6,805	5,657	14,658
FCFF	4,741	3,455	12,345
Margins and Growth			
Revenue Growth Y/Y (%)	2.4%	2.9%	5.2%
Total Organic Sales Growth (%)	-	-	-
Gross margin	61.1%	61.3%	61.5%
EBITDA margin	32.3%	33.8%	34.5%
EBITDA Growth Y/Y (%)	4.8%	7.7%	7.4%
EBIT margin	30.0%	31.4%	31.9%
Net margin	26.6%	26.5%	27.3%
Adj. EPS growth	7.2%	3.0%	8.4%
Ratios			
Net debt/EBITDA	2.1	2.3	2.1
ROIC	-	-	-
ROE	49.1%	51.4%	52.3%
Valuation			
FCFF yield	1.6%	1.2%	4.1%
Dividend yield	2.8%	2.9%	3.1%
EV/Revenue	6.9	6.9	6.5
EV/EBITDA	21.4	20.3	18.8
Adj. P/E	24.1	23.4	21.6

Summary Investment Thesis and Valuation

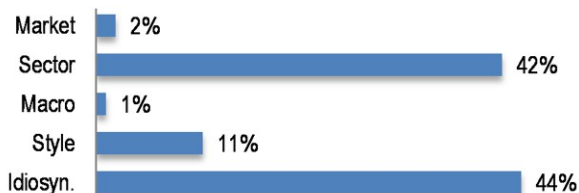
Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola is well positioned for sustainable organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising, and consolidating bottling assets globally, setting up new systems and procurement in the U.S., shifting focus from volume to value growth, and transitioning senior management. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

Valuation

Our Dec 2025 price target is \$79, based on 24.4x P/E (in-line with current CY25 multiple) on our 2026 estimates, as top-line momentum, better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop should sustain KO's relative valuation premium and more than offset concerns around GLP-1 and potential tax liability. Our \$79 price target implies ~9% upside potential in the next approximately 8 months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in the current valuation, creating favorable risk/reward.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.17	0.13
Sect: Cons Staples	0.69	0.66
Ind: Food Bev & Tobacco	0.78	0.76
Macro:		
US Dollar	-0.16	-0.19
US 10yr yield	-0.06	-0.17
Economic Surprise	-0.10	-0.11
Quant Styles:		
DivYld	0.53	0.46
LowVol	0.36	0.37
Momentum	-0.39	-0.37

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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that there is still significant runway with improved execution and expansion into relevant channels including universities or colleges, as well as more affordable energy internationally.

- **AI also Enables Better Collaboration with Food Service Customers and Retailers.** Management commented on a recent meeting with food service customers which are also using Big Data to better strategize and service consumers, and that KO is collaborating and using Generative AI to better predict demand and suggest product mix to better service these consumers. However, they also acknowledge that these customers may not be willing to invest or be interested in having different assortments per store, as it increases complexity.

Investment Thesis, Valuation and Risks

Coca-Cola (Overweight; Price Target: \$79.00)

Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola is well positioned for sustainable organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising and consolidating bottling assets globally, setting up new systems and procurement in the U.S., shifting focus from volume to value growth, and transitioning senior management, all of which give us confidence in the underlying fundamentals of the business. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

Valuation

Our Dec 2025 price target is \$79, based on 24.4x P/E (in-line with current CY25 multiple) on our 2026 estimates, as top-line momentum, better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop should sustain KO's relative valuation premium and more than offset concerns around GLP-1 and potential tax liability. Our \$79 price target implies ~9% upside potential in the next approximately 8 months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in the current valuation, creating favorable risk/reward.

Risks to Rating and Price Target

Downside risks to our Overweight rating and price target include (1) economic weakness leading to material pressure in the away-from-home channel; (2) uncertainty around potential impact of GLP-1 drugs on demand longer term; (3) margin de-leverage because of inflationary headwinds and/or volume losses; and (4) increasingly unfavorable FX movements – all of which could drive further negative earnings revisions.

Coca-Cola: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY23A	FY24A	FY25E	FY26E	FY27E		1Q25A	2Q25E	3Q25E	4Q25E	
Revenue	45,784	46,897	48,253	50,772	-	Revenue	11,216A	12,680	12,390	11,967	
COGS	(18,465)	(18,254)	(18,686)	(19,569)	-	COGS	(4,195)A	(4,878)	(4,801)	(4,813)	
Gross profit	27,319	28,643	29,567	31,203	-	Gross profit	7,021A	7,802	7,589	7,155	
SG&A	(13,983)	(14,558)	(14,428)	(14,995)	-	SG&A	(3,234)A	(3,546)	(3,602)	(4,046)	
Adj. EBITDA	14,464	15,160	16,325	17,532	-	Adj. EBITDA	4,054A	4,562	4,291	3,417	
D&A	(1,128)	(1,075)	(1,186)	(1,324)	-	D&A	(267)A	(307)	(304)	(308)	
Adj. EBIT	13,336	14,085	15,139	16,208	-	Adj. EBIT	3,787A	4,256	3,987	3,109	
Net Interest	(645)	(693)	(984)	(915)	-	Net Interest	(213)A	(253)	(262)	(257)	
Adj. PBT	14,403	15,333	16,167	17,455	-	Adj. PBT	3,961A	4,583	4,342	3,281	
Tax	(2,737)	(2,852)	(3,363)	(3,631)	-	Tax	(824)A	(953)	(903)	(682)	
Minority Interest	11	(18)	0	20	-	Minority Interest	(5)A	15	3	(13)	
Adj. Net Income	11,677	12,463	12,804	13,844	-	Adj. Net Income	3,132A	3,645	3,442	2,585	
Reported EPS	2.69	2.88	2.97	3.22	-	Reported EPS	0.73A	0.85	0.80	0.60	
Adj. EPS	2.69	2.88	2.97	3.22	-	Adj. EPS	0.73A	0.85	0.80	0.60	
DPS	1.83	1.93	2.04	2.16	-	DPS	0.02A	0.51	0.51	1.00	
Payout ratio	68.1%	67.1%	68.7%	67.2%	-	Payout ratio	2.8%A	60.3%	63.9%	166.5%	
Shares outstanding	4,339	4,320	4,310	4,300	-	Shares outstanding	4,313A	4,311	4,309	4,307	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Cash and cash equivalents	9,366	10,828	7,712	6,177	-	Gross margin	59.7%	61.1%	61.3%	61.5%	-
Accounts receivable	3,410	3,569	4,139	4,467	-	EBITDA margin	31.6%	32.3%	33.8%	34.5%	-
Inventories	4,424	4,728	4,919	5,176	-	EBIT margin	29.1%	30.0%	31.4%	31.9%	-
Other current assets	9,532	6,872	8,678	8,869	-	Net profit margin	25.5%	26.6%	26.5%	27.3%	-
Current assets	26,732	25,997	25,448	24,689	-	ROE	46.7%	49.1%	51.4%	52.3%	-
PP&E	9,236	10,303	11,405	12,394	-	ROA	12.3%	12.6%	12.6%	13.6%	-
LT investments	118	0	0	0	-	ROCE	16.8%	17.0%	16.8%	17.4%	-
Other non current assets	61,617	64,249	65,107	65,107	-	SG&A/Sales	30.5%	31.0%	29.9%	29.5%	-
Total assets	97,703	100,549	101,959	102,189	-	Net debt/equity	1.1	1.2	1.4	1.2	-
Short term borrowings	4,557	1,499	5,418	5,418	-	P/E (x)	25.8	24.1	23.4	21.6	-
Payables	15,485	21,715	18,214	18,962	-	P/BV (x)	11.6	12.1	12.0	10.7	-
Other short term liabilities	3,529	2,035	1,619	1,137	-	EV/EBITDA (x)	22.2	21.4	20.3	18.8	-
Current liabilities	23,571	25,249	25,250	25,517	-	Dividend Yield	2.6%	2.8%	2.9%	3.1%	-
Long-term debt	35,547	42,375	43,530	40,530	-	Sales/Assets (x)	0.5	0.5	0.5	0.5	-
Other long term liabilities	11,105	6,553	6,624	6,624	-	Interest cover (x)	22.4	21.9	16.6	19.2	-
Total liabilities	70,223	74,177	75,404	72,671	-	Operating leverage	126.2%	231.0%	258.7%	135.3%	-
Shareholders' equity	25,941	24,856	25,003	27,967	-	Revenue y/y Growth	6.4%	2.4%	2.9%	5.2%	-
Minority interests	1,539	1,516	1,552	1,552	-	EBITDA y/y Growth	6.3%	4.8%	7.7%	7.4%	-
Total liabilities & equity	97,703	100,549	101,959	102,189	-	Tax rate	19.0%	18.6%	20.8%	20.8%	-
BVPS	5.98	5.75	5.80	6.50	-	Adj. Net Income y/y Growth	8.1%	6.7%	2.7%	8.1%	-
y/y Growth	7.9%	(3.8%)	0.8%	12.1%	-	EPS y/y Growth	8.4%	7.2%	3.0%	8.4%	-
Net debt/(cash)	29,701	31,674	37,820	36,355	-	DPS y/y Growth	4.7%	5.6%	5.4%	6.1%	-
Cash flow from operating activities	11,599	6,805	5,657	14,658	-						
o/w Depreciation & amortization	1,128	1,075	1,186	1,324	-						
o/w Changes in working capital	(846)	(6,234)	(6,781)	(28)	-						
Cash flow from investing activities	(3,349)	2,524	(2,960)	(2,313)	-						
o/w Capital expenditure	(1,852)	(2,064)	(2,202)	(2,313)	-						
as % of sales	4.0%	4.4%	4.6%	4.6%	-						
Cash flow from financing activities	(8,310)	(6,910)	(6,239)	(13,880)	-						
o/w Dividends paid	(7,952)	(8,359)	(8,794)	(9,305)	-						
o/w Net debt issued/(repaid)	1,857	2,528	3,837	(3,000)	-						
Net change in cash	(133)	1,796	(3,379)	(1,535)	-						
Adj. Free cash flow to firm	9,747	4,741	3,455	12,345	-						
y/y Growth	2.2%	(51.4%)	(27.1%)	257.4%	-						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Coca-Cola (KO, KO US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Oct 03, 2011. All share prices are as of market close on the previous business day.

Date	Rating	Price (\$)	Price Target (\$)
20-Jul-22	OW	62.53	70
21-Oct-22	OW	55.08	63
26-Oct-22	OW	58.95	64
17-Jan-23	OW	61.43	67
17-Apr-23	OW	63.05	68
14-Jul-23	OW	60.35	67
27-Jul-23	OW	63.05	71
16-Oct-23	OW	52.89	59
24-Oct-23	OW	54.08	62
31-Jan-24	OW	59.90	64
14-Feb-24	OW	59.35	66
19-Apr-24	OW	58.91	65
01-May-24	OW	61.77	68
10-Jul-24	OW	62.69	72
30-Sep-24	OW	71.79	78
23-Oct-24	OW	69.45	75
28-Jan-25	OW	63.87	70
11-Feb-25	OW	64.55	74
21-Apr-25	OW	73.00	78
29-Apr-25	OW	71.79	79

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